

Defense Microelectronics Activity
4234 54th Street, McClellan, CA 95652
PWS #26-6D6

Justification for Other Than Full and Open Competition

1. **Agency and Contracting Activity:** Office of Secretary of War, Defense Microelectronics Activity (DMEA).
2. **Nature and/or description of the action being approved:** This requirement is for a Firm-Fixed Price contract on a sole source basis to Microchip Technology to mitigate current obsolescence issues or mitigate risk to future obsolescence of one or more MIL-PRF-19500 qualified components. This justification is made on an Individual basis.
3. **Description of supplies/services required to meet agency needs:** Mitigate critical obsolescence issues, reduce reliance on fragile supply chains, and restore industrial capacity within the United States for MIL-PRF-19500 certified components, thereby ensuring the long-term, secure, and uninterrupted availability of essential semiconductor devices for Department of Defense weapon systems. The estimated value is [REDACTED] in Research, Development, Test, and Evaluation (RDT&E) funding.
4. **Statutory Authority Permitting Other Than Full and Open Competition:**

RFO 6.103-1 Only one responsible source and no other supplies or services will satisfy agency requirements: 10 U.S.C. 3204(a)(1)

5. **Rationale for Use of Authority:** Microchip Technology possesses unique qualifications and is the only onshore source capable of providing the required MIL-PRF-19500 qualified components to mitigate current and future obsolescence. No other contractor can satisfy the agency's needs for the following reasons:

Microchip Technology is the original designer and manufacturer of a significant majority of the obsolete or at-risk components. They hold the original, proprietary intellectual property (IP), design data, and manufacturing processes that were used to qualify these components under the stringent MIL-PRF-19500 standard. No other source has access to this essential data, making it impossible for them to replicate the exact form, fit, and function of the qualified components.

Qualifying a new component from an alternate manufacturer under MIL-PRF-19500 is cost-prohibitive and time-intensive process.

- The Government would incur significant non-recurring engineering (NRE) costs to re-design, test, and qualify components at a new facility. These costs would far exceed any potential savings from competition and are not expected to be recovered.
- The quantities required by the Federal Government do not reach a level to present a feasible business case for industry to develop an alternative component and continue production in the future.

- The re-qualification process for a MIL-PRF-19500 component is a complex, multi-stage effort that would introduce delays exceeding eighteen (18) months. In contrast, Microchip, as the original and current qualified source holding the proprietary data, can restart production or re-tool existing production lines, a process that typically takes three (3) to six (6) months. The substantial cost and schedule associated with qualifying a new source, detailed below, presents an unacceptable risk.
 - o Manufacturing Line Setup & Yield Stabilization, three (3) to six (6) months
 - o MIL-PRF-19500 Qualification Testing, six (6) to twelve (12) months
 - o DLA Qualification Submission and Approval, three (3) to six (6) months

6. **Fair and Reasonable Cost Determination:** I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable.

Typed Name: [REDACTED] Date: 4/13/26

Title: Contracting Officer Signature: [REDACTED]

Integrated Market Analysis and Efforts to Solicit Competition: A sources sought was posted to sam.gov in 2023 with five (5) interested parties and an RFP was issued by DMEA in 2023. There was only one (1) respondent to the RFP issued by DMEA and contract HQ072723C0012 was issued to made to Microchip Technology in 2023 for the same purpose of mitigating MIL-PRF-19500 component obsolescence. The market conditions have not materially changed since that award was made. VPT and Microsemi (Microchip Technology) remain the two largest suppliers with the greatest market share of MIL-PRF-19500 components. VPT's MIL-Certified manufacturing facility is located Taiwan. The existence and successful execution of HQ072723C0012 serves as a direct precedent, validating the Government's existing market analysis and confirming that a sole-source acquisition remains the only feasible strategy to avoid substantial cost duplication and unacceptable schedule delays.

7. **Any Other Facts Supporting the Justification:** None.

8. **Actions to Overcome Barriers to Competition:** None.

9. **Actions to Increase Competition:** This RFP and justification will be posted to sam.gov.

10. **Contracting Officer Certification:** I certify that this justification is accurate and complete to the best of the contracting officer's knowledge and belief.

Typed Name: [REDACTED] Date: 4/13/26

Title: Contracting Officer Signature: [REDACTED]

11. Review and Approvals

Technical / Requirements Certification

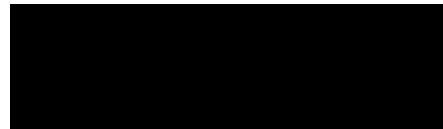
I certify that the supporting data under my cognizance that are included in the justification are accurate and complete to the best of my knowledge and belief.



4/13/26

Date:

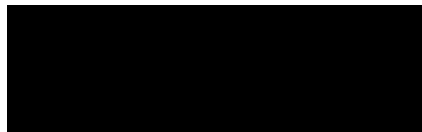
Supervisory Electronics Engineer, Radiation Testing & Validation



4/14/26

Date:

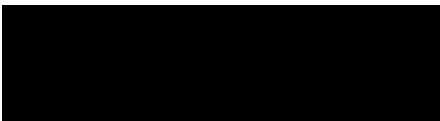
Chief, Operational Contracting Branch



4/15/26

Date:

Deputy General Counsel



4/15/26

Date:

Chief, Contracting Division and Competition Advocate